

US FEDERAL TRADE COMMISSION (FTC) (1) ADVERTISING & MARKETING

FTC Health Products Guidance Express and Implied Claims

Title: Express and Implied Advertising Claims

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.A.1

Plain English Summary:

The FTC considers both express claims and claims that consumers reasonably understand to be implied by an advertisement. An Ayurvedic company cannot avoid responsibility simply by avoiding an explicit disease or treatment statement if the product name, images, testimonials, wording, or overall presentation reasonably communicates the same health claim.

The Exact Legal Text:

FTC Health Products Compliance Guidance Identifying Express and Implied Claims:

Marketers must make sure that whatever they say expressly in advertising is accurate. Often, however, advertising conveys other claims beyond those expressly stated.

Under FTC law, a marketer is equally responsible for the accuracy of claims suggested or reasonably implied in advertising.

When identifying the claims conveyed by an ad, marketers shouldn't focus narrowly on individual phrases or statements, but rather should consider each ad as a whole, assessing the 'net impression' conveyed by all elements of the ad, including the text, product name, and any charts, graphs, and other images.

Keywords/Triggers:

implied claims, express claims, FTC net impression, Ayurvedic product name, advertising images, implied health claim, FTC marketing, consumer interpretation

FTC Health Products Guidance Disclosure of Material Information

Title: Disclosure of Material Information in Advertising

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.A.2; FTC Act §15, 15 U.S.C. §55

Plain English Summary:

An advertisement can be misleading because of what it fails to disclose, not just because of what it says. If important limitations, conditions, or safety information are necessary to prevent consumers from being misled by an Ayurvedic health claim, that information should be disclosed clearly.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

Under Section 15 of the FTC Act, an ad is misleading if it fails to disclose information that is material in light of the claims in the ad or with respect to how consumers would customarily use the product.

Thus, if the ad would be misleading without certain key qualifying information, that information must be disclosed.

Keywords/Triggers:

material disclosure, FTC disclosure requirements, misleading omission, safety disclosure, qualifying information, Ayurvedic advertising disclaimer, FTC Section 15, health claim disclosure

FTC Health Products Guidance Clear and Conspicuous Disclosures

Title: Clear and Conspicuous Advertising Disclosures

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.A.3

Plain English Summary:

When a disclosure is necessary to prevent an advertisement from being misleading, it must be clear and conspicuous. For digital, social-media, and other interactive advertising, the FTC says disclosures should be difficult to miss and understand; simply hiding important information behind a hyperlink may not be sufficient.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

When the disclosure of qualifying information is necessary to prevent an ad from being deceptive, advertisers should present the information clearly and conspicuously, so it is difficult to miss (i.e., easily noticeable) and easily understandable by ordinary consumers.

The FTC further explains that:

In social media, the internet, and other interactive media, the disclosure should be unavoidable; disclosures made through hyperlinks are avoidable.

Keywords/Triggers:

clear and conspicuous disclosure, FTC disclaimer, social media disclosure, Ayurvedic advertising disclaimer, online advertising, hyperlink disclosure, FTC digital marketing

FTC Health Products Guidance Substantiation of Health Claims

Title: Scientific Substantiation of Health Claims

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.B

Plain English Summary:

Advertisers must have a reasonable basis for objective product claims before the advertisement is disseminated. For health-related claims, the FTC generally expects competent and reliable scientific evidence, and the amount and type of evidence required depends on the nature of the claim and the product.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

Under FTC law, advertisers must have a reasonable basis for their product claims before disseminating an ad.

The guidance further states:

Even when an advertiser doesn't make a specific claim about the level of support, claims about the health benefits of a product must still meet the basic substantiation standard of competent and reliable scientific evidence.

And:

As a general matter, substantiation of health-related benefits will need to be in the form of randomized, controlled human clinical testing to meet the competent and reliable scientific standard.

Keywords/Triggers:

claim substantiation, scientific evidence, clinical trials, FTC health claims, Ayurvedic clinical evidence, reasonable basis, competent reliable evidence, health advertising

FTC Health Products Guidance Traditional or Ayurvedic-Type Claims

Title: Advertising Claims Based on Traditional Use

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.C.1

Plain English Summary:

Traditional or historical use does not automatically establish scientific evidence of efficacy under FTC advertising law. An Ayurvedic company may describe genuine traditional use, but if the advertising implies a health benefit that lacks competent and reliable scientific evidence, the claim must be carefully qualified so consumers are not misled about the scientific basis for the benefit.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

Under FTC law, claims for products based on traditional use are subject to the same requirement of substantiation in the form of competent and reliable scientific evidence as any other product.

The guidance also explains that advertising describing traditional or historic use may be permissible when it is:

sufficiently qualified to be truthful and not misleading.

The FTC advises that advertisers clearly identify the historic or traditional use and, where appropriate, clearly communicate the lack of scientific evidence supporting an implied health benefit.

Keywords/Triggers:

Ayurvedic traditional use claims, traditional medicine advertising, Ayurveda FTC, historical use claim, traditional efficacy, scientific evidence Ayurveda, FTC traditional claims, health claim substantiation

FTC Health Products Guidance Testimonials and Expert Endorsements

Title: Testimonials and Expert Endorsements

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.C.1

Plain English Summary:

An Ayurvedic company cannot use testimonials or expert endorsements to communicate health claims that would be deceptive or unsupported if the company made those claims directly. A testimonial must therefore not be used to get around the FTC's requirements for truthful advertising and scientific substantiation.

The Exact Legal Text:**FTC Health Products Compliance Guidance:**

Advertisers are liable for the misleading use of endorsements, whether in traditional advertising media like TV and print, on the internet, in social media, or in other forms of marketing.

An overarching principle is that advertisers should not make claims through consumer testimonials or expert endorsements that would be deceptive or couldn't be substantiated if the advertiser made them directly.

Keywords/Triggers:

FTC testimonials, Ayurvedic testimonials, expert endorsement, influencer claims, social media endorsement, health product testimonial, FTC influencer marketing, unsupported testimonial

FTC Health Products Guidance FDA Approval Claims

Title: Claims About FDA Approval or Compliance

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section III.C

Plain English Summary:

Ayurvedic companies should be careful when advertising that a product is FDA approved, DA certified, or FDA compliant. FTC advertising law applies independently of FDA regulation, so statements suggesting government approval or compliance must themselves be truthful and properly supported. The FTC specifically identifies claims about FDA approval or compliance as an advertising issue requiring attention.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

Other Advertising Issues

The FTC identifies among these issues:

claims about FDA approval or compliance

and explains that FTC advertising requirements operate alongside FDA requirements.

Keywords/Triggers:

FDA approved claim, FDA certified claim, FDA compliance advertising, Ayurvedic FDA claim, government approval claim, FTC FDA advertising, FDA approval marketing

FTC and FDA Division of Advertising and Labeling Responsibility

Title: FTC FDA Jurisdiction Over Marketing Claims

Jurisdiction: International

Category: Advertising

Source Citation: FTC Health Products Compliance Guidance, 2022 Section II.B; FTC/FDA Liaison Framework

Plain English Summary:

For health-related products, the FTC and FDA have overlapping but distinct responsibilities. The FTC generally has primary responsibility for advertising, while the FDA has primary responsibility for claims appearing in labeling; an Ayurvedic business therefore needs to consider both agencies when making product claims.

The Exact Legal Text:

FTC Health Products Compliance Guidance:

The FDA has primary responsibility for claims that appear in labeling, including the package, product inserts, and other promotional materials available at point of sale. The FTC has primary responsibility for claims in all forms of advertising.

The FTC also states:

Because of this shared jurisdiction, the two agencies work closely to ensure that their enforcement efforts are consistent to the fullest extent feasible.

Keywords/Triggers:

FTC FDA jurisdiction, advertising vs labeling, Ayurvedic FDA FTC, FTC cosmetics advertising, FDA labeling claims, health product regulation, FTC advertising authority